

An Independent Letter to NVIDIA Shareholders

Fiscal 2026, ended January 25, 2026

Illustrative owner communication · based on filings available February 25, 2026

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To NVIDIA shareholders

This is an independent example, not a letter from NVIDIA or its management. It uses public FY2026 filings to show how an owner update can explain results, decisions, and uncertainty. It makes no recommendation about NVIDIA shares.

Fiscal 2026 ended January 25, 2026. NVIDIA's revenue rose 65% to \$215.9 billion, and operating income rose 60% to \$130.4 billion. The central fact behind both figures is the scale of its Data Center business. Revenue attributed to that end market reached \$193.7 billion, about 90% of the company total. Owners should see both the growth and the dependence it creates: one end market now drives most of the reported result.

The scorecard

GAAP measure	FY2025	FY2026	Change
Revenue	\$130.5bn	\$215.9bn	+65%
Data Center end-market revenue	\$115.2bn	\$193.7bn	+68%
Gross margin	75.0%	71.1%	-3.9 points
Operating income	\$81.5bn	\$130.4bn	+60%
Cash from operations	\$64.1bn	\$102.7bn	+\$38.6bn

Amounts are rounded from NVIDIA's Form 10-K. Data Center is an **end-market** measure, not the company's similarly sized Compute & Networking reporting segment. Gross margin is gross profit divided by revenue. The table gives a useful comparison, but a single year of revenue growth does not establish how much future demand customers can profitably sustain.

NVIDIA attributes Data Center growth to demand for accelerated computing and AI. Its Blackwell products supplied the majority of Data Center revenue during the year. Networking revenue within Data Center rose faster than compute revenue, a reminder that these systems depend on the connections between processors as well as the processors themselves. Those are management's explanations of the reported growth; the filing does not prove how long the purchasing pace will last.

A cost within a strong year

Gross margin fell from 75.0% to 71.1%. NVIDIA identifies two contributors: the move from Hopper HGX offerings to full-scale Blackwell data-center systems, and a \$4.5 billion charge for H2O inventory and purchase obligations after new U.S. export-license requirements. It would be misleading to set the charge aside and describe the remaining margin decline as temporary. The product mix also changed, and its longer-term economics still have to be observed.

Export controls turned a product planned for one market into a material cost in this year. NVIDIA reported only about \$60 million of H2O revenue under licenses later granted for certain China-based customers. In its filing, the company says it could not then deliver a competitive data-center product for China that both U.S. and Chinese authorities would approve; management warns that continued exclusion could materially harm the business. The \$4.5 billion charge is therefore part of a larger market-access problem, not its full measure.

Capital decisions and obligations

Cash from operations was \$102.7 billion. NVIDIA spent \$6.0 billion on property, equipment, and intangible assets, repurchased 282 million shares for \$40.4 billion, and paid \$1.0 billion in cash dividends, with figures rounded here. It also spent \$17.5 billion on private-company and infrastructure-fund investments. Some investees are AI model makers that buy NVIDIA products, directly or through cloud providers. The investments may be illiquid and may not earn a return; the filing does not isolate how much product demand they support.

NVIDIA paid \$13.0 billion at closing for a non-exclusive Groq technology license and related hiring, with another \$4.0 billion due within a year. It did not buy Groq equity, customer contracts, or existing products. That future payment belongs beside the initial cash outlay when owners assess the decision. These are distinct uses of resources; the \$52.2 billion net investing cash outflow should not be described as factory spending.

Repurchases return cash to selling owners and increase continuing owners' share of the business, but their value depends on the price paid relative to future business value. The filing reports the amount repurchased; it does not settle that value judgment. Research and development expense rose to \$18.5 billion. It was part of operating costs, so adding it to the cash uses above would count it in a different way, not reveal a separate pool of free cash.

At year-end, cash, cash equivalents, and marketable securities totaled \$62.6 billion. That liquidity has to be considered alongside commitments and risks. The company reported \$95.2 billion of outstanding inventory-purchase and long-term supply and capacity commitments, with substantially all expected to be paid through fiscal 2027. Some arrangements can be canceled, delayed, or adjusted before firm orders, potentially at additional cost. Separately, it reported \$27 billion of multi-year cloud-service commitments, including \$7 billion scheduled for fiscal 2027. These categories have different terms, but together show how much NVIDIA is committing ahead of demand it cannot know with certainty.

What owners should watch

Two direct customers represented 22% and 14% of FY2026 revenue. The ultimate buyers using NVIDIA-powered cloud services may differ from those direct customers, but the concentration makes a small number of purchasing decisions consequential. Supply constraints, product transitions, and export rules can also change the economics of orders already anticipated. An owner should watch whether revenue growth continues to produce cash after inventory needs, commitments, and product costs, rather than treating unit demand alone as the score.

The FY2026 result is unusually strong by the measures in the table. The hard question is what portion of that earning power will endure as customers judge their own returns on AI infrastructure and as NVIDIA funds the next generation of systems. The annual filing answers what happened through January 2026. It leaves that future question open.

Sources and calculation notes

This independent example is based on NVIDIA's FY2026 annual Form 10-K and its contemporaneous full-year results release. It is a retrospective for the fiscal year ended January 25, 2026, using information available February 25, 2026. Later FY2027 quarterly results are outside its scope.

- [NVIDIA FY2026 Form 10-K, filed with the SEC February 25, 2026](#): Item 7 results, liquidity, risk discussion, consolidated statements, Notes 2, 12, 14, and 16.
- [NVIDIA FY2026 full-year results release](#): annual results and management commentary.

Calculations and distinctions

- Data Center's share of total revenue is $\$193.737\text{bn} / \$215.938\text{bn} = 89.7\%$, rounded to "about 90%." This is our calculation, not a separately reported metric.
- Annual Data Center **end-market** revenue was $\$193.737\text{bn}$; Compute & Networking **reportable-segment** revenue was $\$193.479\text{bn}$. The letter uses the former and does not interchange them.
- Cash from operations increased by $\$102.718\text{bn} - \$64.089\text{bn} = \$38.629\text{bn}$, rounded to $\$38.6\text{bn}$.
- Property/equipment/intangible purchases were $\$6.042\text{bn}$ in the cash-flow statement, rounded to $\$6.0\text{bn}$. Net investing cash outflow was $\$52.228\text{bn}$ and includes other transactions.
- Shares repurchased were 282 million for $\$40.4\text{bn}$ under the 10-K's capital-return disclosure. Cash paid for repurchases in the cash-flow statement was $\$40.086\text{bn}$; timing and presentation differ, so these figures should not be treated as identical.
- Cash dividends paid were $\$974\text{m}$, rounded to $\$1.0\text{bn}$. Research and development expense was $\$18.497\text{bn}$, rounded to $\$18.5\text{bn}$.
- Cash, cash equivalents, and marketable securities were $\$62.556\text{bn}$, rounded to $\$62.6\text{bn}$. Cash and equivalents alone were $\$10.605\text{bn}$.
- The $\$95.2\text{bn}$ supply and capacity figure combines outstanding inventory-purchase and long-term obligations. Note 12 says substantially all is expected to be paid through fiscal 2027, while some agreements may be canceled, rescheduled, or adjusted before firm orders, potentially at additional cost.

- Note 12 separately reports \$27bn of cloud-service commitments across multiple years, with \$7bn due in fiscal 2027. It also lists other contingent investment and other commitments; the letter does not combine these as equally firm liabilities.
- FY2026 purchases of nonmarketable equity securities were \$17.502bn, rounded to \$17.5bn. The filing describes investments in private companies and infrastructure funds, including some AI model makers that buy NVIDIA products. The letter treats return and demand effects as uncertain.
- The Groq arrangement involved \$13bn cash paid at closing and \$4bn payable within one year, inclusive of imputed interest. It was a non-exclusive technology license and hiring arrangement, not an equity acquisition.

Interpretation boundary

NVIDIA's filing attributes growth to AI and accelerated-computing demand and attributes the margin decline to the Blackwell transition plus the H2O charge. The letter presents these as management explanations. It does not estimate NVIDIA's intrinsic value, future share returns, or future AI demand. Its questions about customer returns and repurchase prices are analytical questions for owners, not asserted findings from the filing.